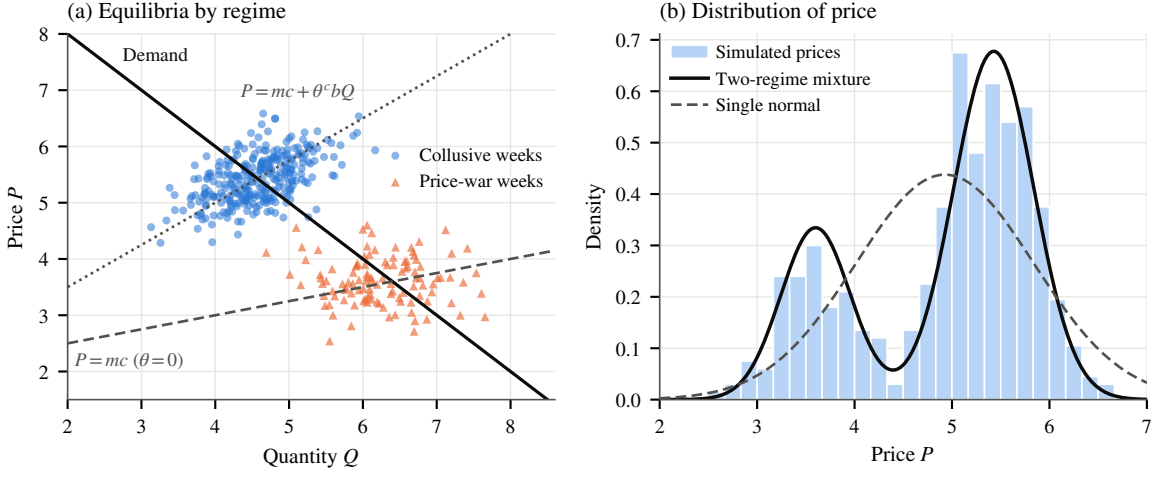
(a) Equilibria by regime
Demand
$P = mc + \theta^c bQ$
Collusive weeks
Price-war weeks
$P = mc$ ($\theta = 0$)
Price $P$
Quantity $Q$
(b) Distribution of price
Simulated prices
Two-regime mixture
Single normal
Density
Price $P$